

The Context Gap

What does “data readiness” mean in 2026, and why AI product development stalls without it.

42% of teams say more than half of their AI projects have stalled, and the cause isn't the model, it's lack of data readiness

Let's agree on what 'data readiness' means

Ask ten teams what “data readiness” means and you get ten answers: clean tables, pipeline uptime, a governance policy. In reality it's all of those things, because they all impact how easily you and your agents access and understand the data. So we've written a new definition for everyone to get behind:

- All of your data in one place that is reachable.

PostHog users have an average of **XX tools producing raw data**. But it's scattered, only **XX% of teams** have all their data piped into a single system.

Agents fail because they have no idea what's going on

An agent is only as good as what it can see. Give it product events but not billing, and it can't tell a churn risk from a power user. Give it support tickets but not usage, and it guesses at cause. The problem is that most users don't know when it fails. It will keep giving you confident, wrong answers until the team stops trusting it, which has already happened to every 2 out of 3 developers

This is where 42% of all AI product development stalls. Teams blame the model but the real problem is that the model just had no idea what was really going on in your business.

Pipelines are the peskiest problem

AI can't see the full picture so teams try to unify context themselves. That means pipelines: extract from each source, load it somewhere, model it, then keep it in sync when a schema changes upstream.

Pipelines are the tax on data readiness. They're why 67% of enterprises spend over 80% of their engineering resources just maintaining plumbing when they could be building. Part of the problem is that data tools are mature but highly specialized to do a small part of the overall stack, so that you end up needing 6 different data tools to get the answers you need. And needs pipelines to move data between them all.

How to close the context gap (without a pipeline to maintain)

A context warehouse, like the one we offer at PostHog, includes ingestion, modeling, storage, and querying in one tool instead of four you wire together.

Product data lands as it's captured, business context syncs in from sources that are connected, and those connections maintained using AI. And, every PostHog tool — analytics, experiments, flags, agents — runs on that same data, so context is unified by default instead of assembled by hand.\

The gap closes, and your product development kickstarts not because you built a better pipeline, but because you stopped needing one.

Data readiness comes down to one thing: context in one place, ready for whoever needs to act on it.

See how the PostHog Context Warehouse works → posthog.com/context-warehouse

Sources:

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